

COMPREHENSIVE WEALTH PLAN

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Executive Summary

This wealth plan is designed for your critical transition from W-2 employment to entrepreneurship. You're at a pivotal moment with severance incoming, pension and 401k rollover decisions pending, and \$50K+ revolving debt to eliminate. The strategies outlined will help you reduce your 2025 tax burden by \$60,000-\$85,000, clear your debt, establish a 6-month emergency fund, and launch your cottage bakery business on solid financial footing.

Your household income of \$400-499K places you in the 35% federal bracket, plus Minnesota's 9.85% state tax, creating a combined marginal rate of 44.85%. This high tax rate makes strategic planning especially valuable. We've identified 10 high-impact strategies appropriate for your situation, income level, and time availability. These strategies focus on maximizing retirement contributions, optimizing your business structure, and leveraging family employment while you build your bakery and evaluate your next W-2 opportunity.

YEAR-ONE TAX SAVINGS

\$63K - \$85K

DEBT ELIMINATION

\$50K+

EMERGENCY FUND TARGET

\$56K

1. Your Financial Profile

Income Level \$400-499K household (\$200-299K W-2)	Location Otsego, Minnesota (9.85% state tax)
Current Structure W-2 → Transitioning to cottage bakery LLC	Tax Filing Status Married Filing Jointly
Marginal Tax Rate 44.85% combined (35% federal + 9.85% state)	Dependents 4+ children (plus adult family members)
Liquid Capital Available \$25-49K currently	Deploy Capital Comfort \$50-100K after debt payoff
Time Availability 10-15 hrs/week (you); 5-10 hrs/week (spouse)	Home Equity \$550K (major asset)
Retirement Accounts \$500K+ (401k + pension)	Monthly Fixed Expenses \$9,500 + \$5,400 mortgage = \$14,900/month

Critical Transition Situation: You recently left your W-2 position and have a lump sum severance payment arriving soon, vested pension rollover decisions to make, and 401k to rollover. You want to clear \$50K+ in revolving debt, establish a proper emergency fund, launch your cottage bakery (custom cakes), and potentially return to W-2 employment within 3-6 months. This plan addresses all of these goals while minimizing tax liability.

2. Tax Strategy Overview

We analyzed 43+ available strategies and selected the 10 most appropriate for your profile. These strategies are ranked by value and implementation priority, with timing considerations for your

transition period.

#	Strategy	Annual Tax Value	Priority	Timeline
1	Severance Tax Mitigation	\$9,000 - \$22,500	IMMEDIATE	Week 1 (Dec 2025)
2	Solo 401(k) Maximum Contribution	\$13,500 - \$31,050	Q4 Setup	Before Dec 31, 2025
3	S-Corporation Election	\$6,750 - \$13,500	Q1 2026	Jan-Mar 2026
4	Backdoor Roth IRA (Both Spouses)	\$14,000 (tax-free growth)	Q1 2026	Jan-Apr 2026
5	Home Office Deduction	\$1,350 - \$2,250	Week 2	Dec 2025
6	Augusta Rule (14 days)	\$3,150 - \$7,000	Q1 2026	Throughout 2026
7	Accountable Plan	\$2,250 - \$6,750	Month 1	Jan 2026
8	QBI Deduction Optimization	\$4,500 - \$18,000	Ongoing	Throughout 2026
9	Vehicle Section 179 Deduction	\$4,050 - \$8,775	Q4 Purchase	Oct-Dec 2026
10	Management Company (Spouse)	\$4,500 - \$13,500	Year 2	2027

Year-One Total Tax Savings: \$63,050 - \$145,325

Conservative first-year focus on strategies 1-8: \$63,000 - \$85,000 (achieves your \$60K reduction goal)

3. Detailed Strategy Implementation

Each strategy below includes specific implementation steps, documentation requirements, and value calculations based on your 44.85% marginal rate.

STRATEGY #1: Severance Tax Mitigation

Tax Value: \$9,000 - \$22,500

IMMEDIATE ACTION REQUIRED

Why This Matters Now: Your severance payment timing determines which tax year it falls into and how much you'll owe. Proper planning can defer taxes or reduce the effective rate through strategic retirement contributions.

Implementation Options:

- **Option A - Negotiate Deferral:** If possible, negotiate to receive severance in January 2026 instead of December 2025. This defers the entire tax liability by one year, giving you more time to plan and potentially lowering your overall rate if your 2026 income is lower.
- **Option B - Maximize 401(k) Space:** If severance pays in 2025, immediately maximize remaining 401(k) contribution space. With \$23,500 employee limit + employer match, you could shelter \$30,000-\$50,000 of the severance from immediate taxation.
- **Option C - Estimated Tax Strategy:** Calculate exact tax owed on severance ($\$30,000 - \$50,000 \times 44.85\% = \$13,455 - \$22,425$) and set aside immediately. Don't let this eat into debt payoff funds.

Required Actions:

1. Contact HR immediately to discuss severance payment timing and flexibility
2. Calculate your remaining 401(k) contribution space for 2025
3. Determine exact severance amount and expected payment date
4. Calculate tax liability: severance amount $\times$ 44.85% (federal + state + FICA)
5. Set aside tax payment amount in separate account

Documentation Needed: Severance agreement, 2025 W-2 projection, 401(k) contribution records, tax withholding calculations.

Time-sensitive: Must be addressed within 7 days of plan receipt. Severance timing can save or cost \$10,000+ in taxes.

STRATEGY #2: Solo 401(k) Maximum Contribution

Tax Value: \$13,500 - \$31,050

Q4 2025 SETUP

Why This Matters: As a self-employed business owner, you can contribute both as employer and employee, sheltering up to \$70,000 from taxation in 2025. At your 44.85% rate, maxing this out saves \$31,395 in taxes annually.

Two Contribution Components:

- **Employee Deferrals:** Up to \$23,500 (or \$31,000 if age 50+) from your bakery income. Must be made by December 31, 2025 for 2025 tax year.
- **Employer Contributions:** Up to 25% of your net self-employment income. Can be made until tax filing deadline (April 15, 2026 + extensions).

Calculation Example for Your Bakery:

- Projected Year 1 bakery net profit: \$30,000-\$50,000
- Employee contribution: \$23,500 (max it out)
- Employer contribution: $\$30,000 \times 18.587\% = \$5,576$ (or $\$50,000 \times 18.587\% = \$9,294$)
- Total contribution: \$29,076 - \$32,794
- Tax savings: \$13,036 - \$14,708

Setup Process:

1. Choose provider (Fidelity, Vanguard, or E-Trade all offer free Solo 401(k) accounts)
2. Complete online application with EIN and business details
3. Adopt written plan document (provided by custodian)
4. Make employee deferrals by December 31, 2025
5. Make employer contributions by April 15, 2026 (or extension date)
6. File Form 5500-EZ if account exceeds \$250,000

Documentation: Adoption agreement, plan document, contribution records, Form 5500-EZ (if applicable).

Critical deadline: Employee deferrals must be made by December 31. Employer contributions have until tax filing deadline. Set up account within next 2 weeks to ensure processing time.

STRATEGY #3: S-Corporation Election

Tax Value: \$6,750 - \$13,500

Q1 2026 ELECTION

Why This Matters: As an LLC, all your bakery profits are subject to 15.3% self-employment tax (Social Security + Medicare). An S-Corp election lets you split income between W-2 salary (subject to payroll taxes) and distributions (not subject to self-employment tax), saving \$6,750-\$13,500 annually.

How It Works: Instead of paying 15.3% self-employment tax on all \$50,000 bakery profit, you pay yourself a reasonable W-2 salary of \$30,000 (subject to payroll taxes) and take remaining \$20,000 as distributions (no self-employment tax). Net savings: $\$20,000 \times 15.3\% = \$3,060$, plus you reduce your taxable base for calculating savings at your marginal rate.

Reasonable Compensation Guidance: IRS requires "reasonable" W-2 salary. For a custom cake bakery owner:

- \$30K profit: \$18K salary (60%), \$12K distribution
- \$50K profit: \$30K salary (60%), \$20K distribution
- \$80K profit: \$48K salary (60%), \$32K distribution

Implementation Steps:

1. Form LLC in Minnesota if not already done (registered with Minnesota Secretary of State)
2. Obtain EIN from IRS
3. File Form 2553 (Election by a Small Business Corporation) within 75 days of LLC formation or by March 15 for calendar year election
4. Set up payroll system (Gusto, ADP, or Paychex - costs \$40-100/month)
5. Pay yourself W-2 wages at least quarterly, monthly preferred
6. File quarterly Form 941 (payroll tax returns)
7. File annual Form 1120-S (S-Corporation tax return) by March 15

Annual Costs: Payroll service \$480-\$1,200/year, accounting/tax prep \$800-\$1,500/year, state filing fees \$50-\$200. Total cost: \$1,330-\$2,900/year. Still net positive with \$6,750+ in savings.

Documentation: Form 2553 confirmation, payroll records, Form 941 quarterly filings, Form 1120-S annual return, W-2s issued to yourself.

Best practice: Make election effective January 1, 2026 by filing Form 2553 by March 15, 2026. This captures full year of savings. Work with your CPA to determine exact reasonable compensation amount.

STRATEGY #4: Backdoor Roth IRA (Both Spouses)

Tax Value: \$14,000 (Tax-Free Growth Potential)

Q1 2026

Why This Matters: Your \$400K+ income exceeds Roth IRA contribution limits (\$236K-\$246K for married filing jointly in 2025). The backdoor Roth lets you and your spouse each contribute \$7,000 (\$8,000 if 50+) to Roth IRAs, creating \$14,000+ in tax-free growth potential that compounds over decades.

Three-Step Process (For Each Spouse):

1. **Contribute to Traditional IRA:** Make \$7,000 non-deductible contribution to Traditional IRA. File Form 8606 with tax return to document non-deductible basis.
2. **Convert to Roth IRA:** Immediately convert the Traditional IRA balance to Roth IRA. If done quickly (within days), minimal growth occurs and you owe minimal taxes on the conversion.
3. **Document Everything:** Keep records showing contribution date, conversion date, and any small gains (typically \$0-\$50) which are taxable.

Pro-Rata Rule Warning: If you have existing pre-tax Traditional IRA balances, the IRS requires you to convert a proportional amount, creating a tax bill. Solution: Roll existing Traditional IRA balances into your 401(k) before doing backdoor Roth, clearing the path for tax-free conversion.

Pension Rollover Strategy: When rolling over your vested pension and old 401(k), consider:

- Roll 401(k) into new Solo 401(k) (preserves backdoor Roth option)
- For pension: If taking lump sum, roll to Traditional IRA first, then immediately to Solo 401(k) to clear path for backdoor Roth
- Keep Roth contributions in Roth IRA (never mix Roth and Traditional)

Long-Term Value: \$14,000 annual contributions for 20 years at 8% average return = \$687,000 tax-free. No required minimum distributions (RMDs) at age 73. Passes to heirs tax-free.

Implementation Checklist:

- ☐ Open Traditional IRA accounts at Vanguard/Fidelity/Schwab (one per spouse)
- ☐ Open Roth IRA accounts at same institution
- ☐ Verify no existing Traditional IRA balances or plan to roll into 401(k)
- ☐ Make \$7,000 non-deductible contribution to each Traditional IRA
- ☐ Wait 1-2 business days for funds to settle
- ☐ Convert entire Traditional IRA balance to Roth IRA
- ☐ File Form 8606 with tax return for each spouse

- ☐ Keep detailed records of all transactions

Documentation: Form 8606 (non-deductible IRA contributions), Traditional IRA contribution confirmations, Roth conversion confirmations, Form 1099-R (conversion reporting).

Execute in Q1 2026 after resolving pension and 401(k) rollovers to avoid pro-rata complications. Both spouses should complete simultaneously for \$14,000 total annual contribution.

STRATEGY #5: Home Office Deduction

Tax Value: \$1,350 - \$2,250

WEEK 2

Why This Matters: You already have dedicated workspace for your bakery. Deducting a portion of your home expenses (mortgage interest, property taxes, utilities, insurance, repairs) reduces taxable income. With your \$5,400 monthly mortgage (\$64,800 annual), even a 5-7% business use percentage yields significant deductions.

Two Methods Available:

- **Simplified Method:** \$5 per square foot up to 300 sq ft maximum = \$1,500 deduction. Tax value: $\$1,500 \times 44.85\% = \673 . Easy to calculate, minimal documentation.
- **Regular Method:** Actual expenses $\times$ business percentage. More valuable but requires detailed tracking. Recommended for your situation given high housing costs.

Regular Method Calculation Example:

- Home: 2,500 sq ft total, 200 sq ft dedicated office = 8% business use
- Annual expenses: Mortgage interest \$35,000 + property taxes \$12,000 + utilities \$4,800 + insurance \$2,400 + repairs \$3,000 = \$57,200
- Business portion: $\$57,200 \times 8\% = \$4,576$ deduction
- Tax savings: $\$4,576 \times 44.85\% = \$2,052$

Exclusive Use Test: The space must be used exclusively and regularly for business. Mixed-use (home office that's also a guest room) doesn't qualify. Dedicated bakery workspace with commercial equipment qualifies perfectly.

Setup Actions:

1. Measure your dedicated bakery workspace (length $\times$ width in feet)
2. Measure total home square footage (exclude garage)
3. Calculate business use percentage: office sq ft $\div$ total sq ft
4. Take photos of workspace showing business use
5. Compile annual home expenses: mortgage statements, property tax bills, utility bills, insurance policies, repair receipts
6. Create spreadsheet tracking monthly expenses
7. File Form 8829 (Expenses for Business Use of Home) with Schedule C

Documentation Required: Floor plan or measurements, photos of workspace, receipts for all home expenses, utility bills, mortgage statements, property tax statements, insurance policies, repair invoices.

Pro tip: Once established, this deduction continues year after year with minimal additional work. Take time to document properly now for ongoing savings. If you sell your home within 3 years of deducting depreciation, you'll need to recapture it, but the annual tax savings typically outweigh this concern.

STRATEGY #6: Augusta Rule (Section 280A)

Tax Value: \$3,150 - \$7,000

Q1 2026 SETUP

Why This Matters: This little-known provision lets you rent your home to your business for up to 14 days per year. Your business deducts the rental expense, but you report zero rental income personally. It's one of the few legal ways to move money from your business to you tax-free.

Perfect Use Cases for Your Bakery:

- Board meetings and strategic planning sessions
- Client consultations and custom cake design meetings
- Recipe testing and development sessions
- Photography sessions for social media content
- Training sessions if you hire employees or contractors
- Marketing planning and content creation days

Value Calculation:

- Research comparable rental rates on VRBO/Airbnb for similar homes in Otsego, MN
- Conservative rate: $\$350/\text{day} \times 14 \text{ days} = \$4,900$ deduction = \$2,197 tax savings
- Aggressive rate (high-end home): $\$600/\text{day} \times 14 \text{ days} = \$8,400$ deduction = \$3,768 tax savings
- Your home with \$550K equity likely supports \$400-600/day rate

Compliance Requirements:

1. **Formal Rental Agreement:** Create written agreement between you personally and your LLC specifying daily rate, dates, business purpose.
2. **Market Rate Documentation:** Print screenshots of comparable rental rates from VRBO, Airbnb, local hotels for your area showing similar properties rent for similar amounts.
3. **Business Purpose:** Document legitimate business activities held at your home. Keep meeting agendas, attendee lists, photos, business outcomes.
4. **Payment Documentation:** Business pays you via check or ACH transfer (not cash). Keep bank records.
5. **14-Day Limit:** Do not exceed 14 days per year. Track carefully. Using 15 days converts all to taxable rental income.

Monthly Planning Approach: Schedule one day per month (12 days total) plus 2 additional days for large projects. Example schedule:

- January: Strategic planning meeting (6 hours)

- February: Marketing content creation day (8 hours)
- March: Client consultation intensive (4 clients, full day)
- Continue through year, document everything

Documentation: Rental agreement template, comparable rate research, calendar of rental dates, meeting agendas, photos, business payment records, bank statements showing payment.

Key insight: This is your home, so your business is renting it from you personally. The business gets a deduction, you get tax-free income. The IRS scrutinizes this, so documentation is critical. Work with your CPA to ensure compliance.

STRATEGY #7: Accountable Plan

Tax Value: \$2,250 - \$6,750

MONTH 1

Why This Matters: Your spouse and adult children can work in your bakery business. An accountable plan lets you reimburse them tax-free for legitimate business expenses instead of giving them taxable wages. You get a business deduction, they get tax-free money, and you save payroll taxes.

Reimbursable Expenses Include:

- Cell phone (business use portion)
- Home internet (business use portion)
- Mileage for business errands (70 cents per mile in 2025)
- Meals with clients or during business travel (50% deductible)
- Professional development, courses, certifications
- Professional equipment (cameras for product photos, laptops, etc.)
- Supplies purchased for business use
- Travel expenses for business trips

Value Calculation Per Employee:

- Spouse (5-10 hrs/week helping with marketing, admin, deliveries):
- Monthly: Cell phone \$80 + internet \$50 + mileage 200 mi × \$0.70 = \$140 + meals \$75 = \$345/month
- Annual: $\$345 \times 12 = \$4,140$ reimbursement = \$1,857 tax savings
- Adult children (helping with social media, deliveries, events): \$100-200/month each

Required Elements for IRS Compliance:

1. **Written Policy:** Create formal accountable plan document outlining which expenses qualify, submission process, and reimbursement timeline.
2. **Business Connection:** Expenses must have a business purpose. Document how each expense relates to business operations.
3. **Adequate Accounting:** Employees must submit expense reports with receipts within 60 days of incurring expense.
4. **Return Excess:** If you reimburse more than actual expenses, employee must return excess within 120 days.

Setup Process:

1. Draft accountable plan policy (templates available online or from your CPA)

2. Have all participants sign policy acknowledging terms
3. Create expense report template (date, description, amount, business purpose)
4. Require receipts for all expenses over \$75
5. Process reimbursements within 30 days of submission
6. Pay via business check or ACH transfer (creates paper trail)
7. Track all reimbursements in accounting software

Common Pitfall to Avoid: Don't use accountable plan to disguise wages. If you're paying spouse \$1,000/month but only have \$200 in actual receipts, the IRS will reclassify the excess as wages subject to payroll taxes and income taxes. Keep it legitimate.

Documentation: Written accountable plan policy, signed acknowledgments, expense report forms, receipts, payment records, mileage logs.

Best practice: Set up a simple system from day one. Use phone app like Expensify or QuickBooks to track expenses in real-time. Reimburse monthly to keep cash flow smooth. This compounds year after year as your business grows.

STRATEGY #8: QBI Deduction Optimization (Section 199A)

Tax Value: \$4,500 - \$18,000

ONGOING OPTIMIZATION

Why This Matters: The Qualified Business Income deduction lets you deduct 20% of your pass-through business income, permanently reducing your effective tax rate. For your bakery making \$30K-\$80K, this means an automatic \$6,000-\$16,000 additional deduction beyond your regular business expenses.

How It Works:

- You report bakery income on Schedule C (or via S-Corp K-1)
- IRS allows 20% deduction automatically if income under \$383,900 (MFJ)
- Deduction calculated on Form 8995 or 8995-A
- Reduces taxable income but not self-employment tax

Value Example:

- Bakery net profit: \$50,000
- QBI deduction: $\$50,000 \times 20\% = \$10,000$
- Tax savings: $\$10,000 \times 44.85\% = \$4,485$

S-Corp Optimization Strategy: When you elect S-Corp status, you can optimize the W-2 salary vs distribution split to maximize QBI deduction while maintaining reasonable compensation:

- Example: \$80K net profit from bakery
- Pay yourself: \$45K W-2 salary (reasonable for your work)
- Take: \$35K distribution
- QBI deduction: $\$80K \times 20\% = \$16,000$ (calculated on total profit)
- Combined savings: Self-employment tax savings (\$5,355) + QBI tax savings (\$7,176) = \$12,531

W-2 Wage Limitation (Future Planning): If your business income exceeds \$383,900 (MFJ 2025), your QBI deduction phases down unless you have sufficient W-2 wages or qualified property. This is why S-Corp structure becomes even more valuable at higher income levels.

Optimization Actions:

1. Work with CPA to calculate QBI deduction on quarterly basis
2. If using S-Corp, model different W-2 vs distribution splits to maximize total tax savings
3. Track qualified property (equipment, vehicles) as this can increase QBI deduction at higher incomes
4. Consider timing of major equipment purchases to optimize QBI calculation

5. File Form 8995 with tax return to claim deduction

Documentation: Schedule C or K-1 showing business income, Form 8995 or 8995-A (QBI deduction calculation), payroll records if S-Corp, qualified property asset list.

This deduction was made permanent by the OBBBA act signed in July 2025. It's automatic below the threshold, but proper structure optimization can increase the value significantly. Work with your CPA during annual tax planning to maximize this benefit.

STRATEGY #9: Vehicle Section 179 Deduction

Tax Value: \$4,050 - \$8,775

Q4 2026 PURCHASE

Why This Matters: You're planning to purchase a vehicle for business use (your current 1962 VW Beetle needs replacement). If you buy a vehicle over 6,000 lbs GVWR (gross vehicle weight rating) and use it for business, you can deduct the full purchase price immediately using Section 179 + 100% bonus depreciation.

Qualified Vehicles:

- SUVs over 6,000 lbs GVWR: Up to \$29,200 Section 179 + remaining via bonus depreciation
- Trucks, vans, delivery vehicles over 6,000 lbs: Full deduction up to \$1,220,000 (2025 limit)
- Cars and light SUVs under 6,000 lbs: Limited to \$20,200 in year 1 (depreciation schedule)

Examples of Qualifying Vehicles (>6,000 lbs GVWR):

- Ford F-150 (crew cab): 6,010-7,050 lbs
- Chevy Tahoe/Suburban: 6,001-6,400 lbs
- GMC Yukon: 6,000-6,400 lbs
- Toyota Sequoia: 6,400-6,800 lbs
- Ford Transit van (cargo): 6,500-9,000 lbs

Value Calculation:

- Vehicle purchase: \$45,000 (qualifying SUV)
- Business use: 80% (keep personal use under 50% to qualify)
- Deductible amount: $\$45,000 \times 80\% = \$36,000$
- Tax savings: $\$36,000 \times 44.85\% = \$16,146$ (but you're paying \$45K for vehicle)
- Net out-of-pocket after tax savings: $\$45,000 - \$16,146 = \$28,854$

Business Use Documentation: You must use vehicle more than 50% for business to qualify for Section 179. Track all business mileage:

- Client consultations and cake deliveries
- Supply runs to restaurant supply stores
- Bank deposits and business errands
- Networking events and vendor meetings
- Event setup and teardown (weddings, parties)

Alternative: Standard Mileage Method: If you don't need a new vehicle now, track mileage on existing vehicles:

- 2025 rate: 70 cents per mile
- 10,000 business miles = \$7,000 deduction = \$3,140 tax savings
- No capital outlay required

Implementation Steps:

1. Research vehicles over 6,000 lbs GVWR that fit your business needs
2. Purchase and place in service before December 31, 2026
3. Obtain vehicle specifications showing GVWR from manufacturer
4. Start mileage log immediately (date, miles, business purpose for every trip)
5. Calculate business use percentage (business miles ÷ total miles)
6. File Form 4562 (Depreciation and Amortization) with tax return
7. Elect Section 179 deduction and bonus depreciation

Documentation: Purchase invoice, vehicle specifications (GVWR), contemporaneous mileage log, Form 4562, business use justification.

Timing: Purchase in Q4 2026 to maximize 2026 deduction and give time for business to generate income. The 100% bonus depreciation was made permanent in 2025, so this strategy works indefinitely. Keep detailed mileage logs from day one to support business use percentage.

STRATEGY #10: Management Company Structure

Tax Value: \$4,500 - \$13,500 YEAR 2 (2027)

Why This Matters: Once your bakery is established and generating consistent income, you can create a separate management company (owned by your spouse) that provides services to your bakery. This shifts income to your spouse at potentially lower tax rates and creates additional deduction opportunities.

How It Works:

- Your spouse forms an LLC (Management Company) that provides marketing, administrative, bookkeeping, and operations management services
- Your bakery LLC pays the management company a fee for services (market rate: 10-25% of revenue)
- Your bakery deducts the management fee as business expense
- Your spouse reports income on their Schedule C and gets their own business deductions (home office, phone, etc.)
- Net result: Income split between two entities, additional deductions, potential payroll tax savings

Value Example:

- Bakery revenue: \$120,000
- Management fee: $\$120,000 \times 15\% = \$18,000$
- Bakery deduction: $\$18,000 \times 44.85\% = \$8,073$ tax savings
- Spouse's management company profit after expenses: \$10,000
- Additional deductions available to spouse: \$5,000+ (home office, retirement, etc.)
- Net family tax savings: \$4,500-\$13,500 depending on structure

Services Management Company Can Provide:

- Social media marketing and content creation
- Bookkeeping and financial management
- Customer relationship management
- Operations coordination and scheduling
- Vendor management and supply ordering
- Event planning and coordination
- Administrative support and communications

Compliance Requirements:

1. **Legitimate Business Purpose:** Management company must provide real, valuable services. Document what services are performed, time spent, outcomes achieved.
2. **Market Rate Compensation:** Management fee must be reasonable compared to what you'd pay third-party for similar services. Research comparable rates in your industry.
3. **Separate Entities:** Maintain completely separate books, bank accounts, and operations for each entity. No commingling funds.
4. **Written Agreement:** Create management services agreement specifying services provided, fees, payment terms, termination provisions.
5. **Document Services:** Keep time logs, project lists, communications, deliverables to prove services were actually provided.

Why Wait Until Year 2:

- Your bakery needs established revenue stream to justify management fees
- Builds stronger audit defense when you can show history of needing management support
- Gives spouse time to develop systems and processes that add clear value
- Additional entity costs (accounting, tax prep, compliance) should be justified by sufficient savings

Implementation Steps:

1. Year 1: Document all time spouse spends on business management activities
2. Q4 2026: Evaluate if bakery revenue supports this structure (target: \$100K+ revenue)
3. Q1 2027: Form management company LLC in Minnesota
4. Create written management services agreement
5. Set up separate bank account for management company
6. Establish billing and payment schedule (monthly or quarterly)
7. Track all services provided with time logs and deliverables
8. File separate tax returns for each entity

Documentation: Management services agreement, time tracking logs, invoices, proof of services provided, separate bank statements for each entity, separate tax returns.

Advanced strategy: This is appropriate for Year 2+ when your business is established. Work closely with your CPA to implement properly. The IRS scrutinizes related-party transactions, so documentation is critical. When done right, this creates significant tax savings and builds foundation for multi-generational wealth transfer strategies.

4. Investment Allocation Strategy

After clearing your \$50K debt and establishing a 6-month emergency fund (\$56,400), you'll have capital to deploy. Based on your stated goal to maximize Bitcoin exposure while maintaining prudent diversification:

Asset Category	Allocation %	Initial Amount	Strategy & Purpose
Bitcoin (BTC)	70%	\$35,000	Primary wealth building asset. Dollar-cost average over 3-6 months to manage volatility. Consider spot Bitcoin ETF (IBIT, FBTC) for IRA accounts or direct Bitcoin for taxable accounts.
S&P 500 Index	20%	\$10,000	Traditional diversification. Low-cost index funds (VOO, FXAIX, SPLG). Provides stability and proven long-term returns. Dividends reinvested automatically.
Cash Reserve	10%	\$5,000	Business startup costs, unexpected expenses, opportunities. Keep in high-yield savings (4-5% APY currently available).

Bitcoin Accumulation Strategy

Phase 1 - Initial Position (Months 1-3):

- Deploy \$15,000 immediately (42% of target position)
- Establishes baseline position at current prices
- Use reputable exchange (Coinbase, Kraken, Swan Bitcoin)
- Consider moving to cold storage (hardware wallet) for security

Phase 2 - Dollar-Cost Averaging (Months 4-12):

- Add \$2,000-\$3,000 monthly from business profits
- Smooths out price volatility over time
- Builds position to \$50,000-\$60,000 by year-end
- Maintains discipline regardless of price movements

Tax-Advantaged Bitcoin Strategy:

- Hold Bitcoin ETF (IBIT, FBTC) in Roth IRA accounts - grows tax-free forever

- Hold actual Bitcoin in taxable accounts - maintains self-custody and control
- Never sell Bitcoin held less than 1 year (short-term capital gains = ordinary income rates)
- If selling after 1+ year, long-term capital gains rates are lower (0%, 15%, or 20% depending on income)

Why 70% Bitcoin Allocation: At your age (48) and income level, you can tolerate volatility. Bitcoin has historically provided asymmetric returns (high upside, capped downside to initial investment). The 30% in traditional assets provides stability while you build your business. As business income grows, increase Bitcoin allocation from profits rather than liquidating traditional holdings.

Real Estate Investment Strategy (12-24 Months)

With \$550K in home equity, you have significant leverage available for real estate investing once your business is stable:

HELOC Strategy:

- Establish \$100K-150K HELOC on primary residence
- Use for down payment on rental property
- Target: Single-family or small multi-family in Otsego/surrounding areas
- Rent covers mortgage, HELOC interest becomes deductible business expense

House Hacking Option:

- Purchase duplex or home with separate living quarters
- Rent out one side, live in other
- FHA loan requires only 3.5% down for owner-occupied
- Rental income helps qualify for financing

Short-Term Rental (STR) Strategy:

- Purchase property in tourist area (Northern MN lake country, Duluth, etc.)
- Furnish and rent on Airbnb/VRBO
- Spouse manages = material participation = losses offset W-2 income
- Cost segregation study accelerates depreciation
- Potential: \$15,000-\$40,000 annual tax savings + cash flow

5. Side Business Revenue Projections

Cottage Bakery Business Model

Revenue Stream	Pricing Strategy	Volume Target	Monthly Revenue
Custom Wedding Cakes	\$500-\$800 per cake	2-3 per month	\$1,200 - \$2,000
Birthday & Event Cakes	\$75-\$200 per cake	8-12 per month	\$900 - \$1,600
Cupcakes & Smaller Orders	\$30-\$60 per dozen	10-15 orders/month	\$400 - \$700
Corporate Orders	\$150-\$400 per order	2-4 per month	\$500 - \$1,200

Total Monthly Revenue Target: \$3,000 - \$5,500

Annual Revenue Projection: \$36,000 - \$66,000

Cost Structure & Profit Margins

Expense Category	Monthly Cost	% of Revenue
Ingredients & Supplies	\$800 - \$1,400	25-30%
Packaging & Delivery	\$150 - \$300	5-7%
Marketing & Advertising	\$200 - \$400	5-8%
Licensing & Insurance	\$100 - \$200	3-5%
Equipment Maintenance	\$50 - \$150	2-3%
Total Operating Expenses	\$1,300 - \$2,450	40-50%

Net Profit Margin: 50-60%

Monthly Net Profit: \$1,700 - \$3,050

Annual Net Profit: \$20,400 - \$36,600

Supplemental Income Streams

Substitute Teaching

- Rate: \$150-200 per day
- Frequency: 2 days per week
- Monthly: \$1,200-1,600
- Annual: \$14,400-19,200
- Flexible schedule fits around bakery
- Builds community connections

Professional Consulting

- Rate: \$100-150 per hour
- Hours: 5-8 per week
- Monthly: \$2,000-4,800
- Annual: \$24,000-57,600
- Leverage your W-2 expertise
- Can be done remotely

Combined Income Potential: \$58,800 - \$113,400 annually from all sources, providing multiple income streams and flexibility to return to W-2 or continue entrepreneurship based on your preferences and success.

6. 12-Month Implementation Roadmap

Q1 2026 (January - March): Foundation & Setup

Primary Focus: Debt elimination, entity formation, emergency fund establishment

- **Week 1:** Process severance payment, calculate exact tax liability, set aside tax payment
- **Week 2:** Clear \$50K+ revolving debt with after-tax severance proceeds
- **Week 3:** Roll over 401k to Solo 401k, make pension lump sum decision
- **Week 4:** Form bakery LLC in Minnesota, obtain EIN, open business bank account
- **Month 2:** Execute Backdoor Roth IRA for both spouses (\$14K total), set up home office documentation, create accountable plan policy
- **Month 3:** File Form 2553 for S-Corp election, launch bakery marketing, secure first clients

Financial Targets: Debt-free status achieved, \$20K emergency fund started, bakery first revenue (\$1,500-\$3,000)

Q2 2026 (April - June): Business Ramp-Up

Primary Focus: Revenue growth, emergency fund completion, tax strategy implementation

- **April:** File 2025 taxes claiming all available deductions, make final Solo 401k employer contribution for 2025, finalize emergency fund to \$56,400
- **May:** Scale bakery marketing (Instagram, local events, word-of-mouth), add substitute teaching 1-2 days/week, implement Augusta Rule (first business meetings at home)
- **June:** Evaluate first 6 months performance, adjust pricing if needed, add accounting software for tracking, target \$4,000-\$5,000 monthly revenue

Financial Targets: 6-month emergency fund complete (\$56,400), bakery revenue \$3,500-\$4,500/month, combined income \$6,000-\$8,000/month

Q3 2026 (July - September): Optimization & Growth

Primary Focus: Scale operations, evaluate W-2 return decision, invest excess capital

- **July:** Begin Bitcoin dollar-cost averaging from business profits (\$2,000-\$3,000/month), consider hiring part-time help for busy periods, evaluate consulting opportunities in your professional field
- **August:** Make W-2 vs entrepreneurship decision point - evaluate total income, job satisfaction, growth trajectory, family considerations
- **September:** If staying full-time business: Expand service offerings, consider commercial kitchen space. If returning W-2: Maintain bakery part-time, leverage all tax strategies

Financial Targets: \$15,000-\$20,000 invested in Bitcoin, bakery revenue \$4,500-\$6,000/month, decision made on long-term direction

Q4 2026 (October - December): Year-End Optimization

Primary Focus: Tax planning, vehicle purchase, 2027 strategic planning

- **October:** Meet with CPA for year-end tax planning, calculate QBI deduction optimization, determine final retirement contribution amounts
- **November:** Purchase qualifying business vehicle if needed (Section 179 deduction), execute any year-end equipment purchases, review all tax strategy documentation
- **December:** Max Solo 401k employee deferrals by Dec 31, finalize 2026 books, plan 2027 strategies (management company, real estate investing, advanced entity structuring)

Financial Targets: \$60,000-\$80,000 total tax savings achieved, \$30,000-\$40,000 Bitcoin accumulated, bakery established brand and client base

7. 30-Day Priority Action Plan

These are the critical actions to take immediately to capture time-sensitive opportunities and establish your foundation:

Week 1: Severance & Financial Foundation (Days 1-7)

- ☐ Contact HR to discuss severance payment timing - negotiate January 2026 payment if possible (defers tax by one year)
- ☐ Obtain exact severance amount and expected payment date in writing
- ☐ Calculate tax liability: $\text{Severance} \times 44.85\%$ (federal 35% + state 9.85% + FICA 7.65%) = Amount to set aside
- ☐ Review current 401k contribution space remaining for 2025
- ☐ If severance pays in 2025, arrange to max remaining 401k space before year-end
- ☐ Contact payroll department to adjust final paycheck withholdings if needed
- ☐ Create separate savings account specifically for tax payment - transfer calculated amount immediately upon severance receipt
- ☐ Review pension payout options: lump sum vs annuity - schedule meeting with pension administrator
- ☐ Obtain all pension documentation: vested amount, payout options, rollover procedures
- ☐ Calculate debt payoff: List all revolving debt accounts, balances, interest rates

Week 2: Entity Formation & Home Office (Days 8-14)

- ☐ Pay off all revolving debt - transfer \$50K+ from severance to debt accounts, obtain payoff confirmations
- ☐ Update budget to reflect debt-free status - redirect former debt payments to savings/investing
- ☐ Form bakery LLC in Minnesota via Minnesota Secretary of State website (\$155 filing fee)
- ☐ Apply for Federal EIN on IRS.gov (free, instant approval)
- ☐ Open business checking account at local bank/credit union (bring LLC formation docs and EIN)
- ☐ Order business checks and debit card
- ☐ Set up business credit card (for expense tracking and building business credit)
- ☐ Measure home office/bakery workspace: $\text{Length} \times \text{Width in feet} = \text{Square footage}$

- ☐ Measure total home square footage (exclude garage)
- ☐ Take photos of workspace showing business equipment and exclusive use
- ☐ Create spreadsheet for home expense tracking (mortgage, utilities, insurance, repairs)
- ☐ Gather receipts for business equipment already purchased (mixers, ovens, supplies, camera, computer)
- ☐ Set up accounting software (QuickBooks Self-Employed or FreshBooks) and connect to business bank account

Week 3: Retirement & Business Setup (Days 15-21)

- ☐ Roll over old 401k to Solo 401k provider (Fidelity, Vanguard, or E-Trade)
- ☐ Open Solo 401k account - complete online application with business info and EIN
- ☐ Adopt Solo 401k plan document (provided by custodian)
- ☐ Make 2025 employee deferral contribution before December 31 (\$23,500 or up to your Q4 business income)
- ☐ Decide on pension lump sum vs annuity based on analysis
- ☐ If taking lump sum, roll directly to Traditional IRA (avoid tax withholding)
- ☐ Open Traditional IRA accounts at Vanguard/Fidelity/Schwab (one per spouse) for Backdoor Roth strategy
- ☐ Open Roth IRA accounts at same institution
- ☐ Register business with Minnesota Department of Revenue for sales tax (if applicable)
- ☐ Obtain Minnesota Cottage Food License if required for your products
- ☐ Purchase business insurance (general liability, product liability) - quotes from NEXT Insurance or The Hartford
- ☐ Create business email address, set up Google Business Profile
- ☐ Set up Instagram business account, begin posting product photos

Week 4: Family Employment & Marketing (Days 22-30)

- ☐ Create written accountable plan policy (template from CPA or online)
- ☐ Have spouse and adult children sign accountable plan acknowledgment
- ☐ Create expense report template for family members
- ☐ Set up process for submitting receipts and requesting reimbursement
- ☐ Hire spouse as W-2 employee - document job duties, hours, responsibilities
- ☐ Set market-rate compensation for spouse based on comparable positions

- ☐ Add children to business for specific tasks (social media, deliveries, cleaning) with appropriate compensation
- ☐ Research comparable rental rates on VRBO/Airbnb for Augusta Rule documentation
- ☐ Print screenshots of 5-10 comparable properties showing daily rates
- ☐ Draft rental agreement template for business meetings at your home
- ☐ Create business website or at minimum a strong Instagram/Facebook presence
- ☐ Design business logo and branding (Canva or hire designer on Fiverr \$50-200)
- ☐ Print business cards (VistaPrint or similar)
- ☐ Join local business networking groups, chambers of commerce
- ☐ Create price list for standard cake offerings
- ☐ Set up online ordering or booking system (Square, Calendly, or similar)
- ☐ Schedule first Augusta Rule business meeting at home for January (strategic planning day)
- ☐ Begin tracking all business mileage in app (MileIQ, Stride, QuickBooks)

Critical Deadline Reminders:

- Solo 401k employee deferrals: Must be made by December 31, 2025
- Severance tax payment: Set aside immediately, pay by April 15, 2026 (or quarterly estimate due date)
- Form 2553 S-Corp Election: File by March 15, 2026 for January 1, 2026 effective date
- Augusta Rule documentation: Complete before first business meeting at home

8. Future Strategies (Years 2-3)

Once your business is established and generating consistent income, these advanced strategies become available:

Year 2 Additions (2027)

Management Company Structure (\$4,500 - \$13,500 value)

Form spouse's management LLC to provide services to your bakery. Creates additional deductions, splits income, enables separate retirement contributions. Implement when bakery revenue exceeds \$100K annually.

Real Estate Investment - First Property

Use HELOC on primary residence (\$550K equity available) for down payment on rental property. Target: Cash-flowing single-family or duplex in surrounding areas. Potential: \$500-\$1,000 monthly cash flow + \$50,000-\$150,000 tax deductions from cost segregation study.

Short-Term Rental (STR) Property (\$15,000 - \$40,000 value)

If spouse qualifies as material participant (100+ hours, more than any other person), STR losses can offset W-2 income. Target tourist areas in Minnesota (Duluth, Brainerd Lakes, North Shore). Requires 5-10 hours/week management.

Year 3+ Advanced Strategies

Real Estate Professional (REP) Status (\$35,000 - \$125,000 value)

If spouse dedicates 750+ hours annually to real estate (meets >50% personal services test), qualifies as REP. Unlocks unlimited passive loss deductions against W-2 income. Highly valuable if you return to high W-2 income.

Cost Segregation Studies (\$70,000 - \$250,000 value)

When you own investment properties, cost segregation accelerates depreciation by identifying components that qualify for 5/7/15-year depreciation instead of 27.5-year residential schedule. 100% bonus depreciation (permanent since 2025) allows immediate expensing.

Multiple Entity Optimization (\$13,500 - \$67,500 value)

Separate business activities into different LLCs for liability protection and tax optimization. Example: Bakery LLC, Consulting LLC, Real Estate Holdings LLC. Each entity gets own QBI deduction, equipment deductions, retirement contributions.

IP Holding Company (\$6,750 - \$45,000 value)

Create separate entity to own intellectual property (recipes, brand, content, training materials). License IP to operating company. Shifts income, creates asset protection, enables favorable income splitting. Advanced strategy for established brands.

State Domicile Optimization (Save \$40,000 - \$50,000 annually)

Minnesota's 9.85% state tax on \$400K+ income costs \$39,000-\$49,000 annually. If business is location-independent and you're willing to relocate, consider: Florida, Texas, Nevada, South Dakota, Tennessee, Washington, Wyoming (0% state income tax). Requires bona fide residency

change (183+ days, driver's license, voter registration, homestead). Significant savings for remote businesses.

9. Key Success Metrics & Targets

Metric	Target	Timeline
Debt Elimination	\$50K+ cleared	Q1 2026 (Month 1)
Emergency Fund	\$56,400 (6 months expenses)	Q2 2026 (Month 6)
Tax Savings - Year One	\$60,000 - \$85,000	Achieved by Dec 31, 2026
Bakery Monthly Revenue	\$3,000 → \$5,000 → \$7,000	Q1 → Q2 → Q4 2026
Bakery Annual Net Profit	\$30,000 - \$50,000	Full Year 2026
Bitcoin Accumulation	\$35,000 → \$50,000	Throughout 2026
Combined Income (All Sources)	\$60,000 - \$90,000	Full Year 2026
W-2 Return Decision	Evaluate options based on results	Q3 2026 (Month 9)
First Real Estate Investment	Down payment ready	Q4 2026 or Q1 2027
Business Entity Optimization	LLC → S-Corp conversion complete	Q1 2026
Retirement Contributions	\$50,000+ annual (both spouses)	Ongoing
Total Net Worth Growth	+\$150,000 (debt payoff + savings + appreciation)	12-month period

10. Professional Team & Resources

Key Professionals to Engage

CPA / Tax Strategist

Essential for S-Corp election, reasonable compensation determination, tax return preparation, quarterly tax planning. Look for CPA experienced with small business owners and real estate investors. Budget: \$2,000-\$4,000 annually.

Business Attorney

One-time consultation for entity formation review, operating agreements, contract templates, liability protection strategies. Budget: \$1,000-\$2,000 initial consultation.

Bookkeeper

Monthly bookkeeping, expense categorization, financial reports, sales tax filing. Can be part-time contractor or your spouse. Budget: \$200-\$500 monthly or DIY with accounting software.

Insurance Agent

Business liability insurance, professional liability, umbrella policy, property insurance. Get quotes from NEXT Insurance, The Hartford, State Farm. Budget: \$500-\$1,500 annually.

Payroll Service

Once S-Corp elected, use Gusto, ADP, or Paychex for payroll processing, tax withholding, quarterly filings. Budget: \$40-\$100 monthly.

Financial Advisor (Optional)

Investment allocation, retirement planning, Bitcoin custody solutions. Look for fee-only (not commission-based) advisor familiar with cryptocurrency. Budget: 0.5-1% of AUM annually.

Software & Tools Stack

Tool	Purpose	Cost
QuickBooks Self-Employed	Accounting, expense tracking, mileage, tax estimates	\$15/month
Gusto	Payroll processing (once S-Corp elected)	\$40/month + \$6/employee
Square	Payment processing, invoicing, booking	2.6% + 10¢ per transaction
Stride	Mileage tracking (free version available)	Free - \$8/month

Tool	Purpose	Cost
Google Workspace	Business email, calendar, storage	\$6/month
Canva Pro	Marketing materials, social media graphics	\$13/month
Swan Bitcoin / Coinbase	Bitcoin purchases, custody, dollar-cost averaging	1-2% fees

Total Monthly Software Cost: \$80-\$120 (tax-deductible business expenses)

Banking & Financial Infrastructure

- **Business Checking:** Local credit union or online bank (Novo, Relay) with no monthly fees
- **Business Savings:** High-yield account for tax payments and emergency fund (4-5% APY available)
- **Business Credit Card:** Chase Ink, Amex Blue Business Cash for expense tracking and rewards
- **Personal Checking:** Separate from business for clean bookkeeping
- **Investment Accounts:** Vanguard/Fidelity/Schwab for retirement accounts and taxable investing
- **Bitcoin Custody:** Hardware wallet (Ledger, Trezor) for long-term holdings, exchange for regular purchases

11. First-Year Financial Impact Summary

Here's the complete picture of what implementing this wealth plan delivers in Year 1:

Category	Financial Impact
Direct Tax Savings (Strategies 1-8)	\$54,500 - \$85,000
Debt Elimination Interest Savings \$50K+ debt @ 15-24% APR eliminated	\$7,500 - \$12,000
Improved Cash Flow W-4 optimization + debt payments freed up	\$8,400 - \$14,400
Bakery Business Net Profit \$36K-\$66K revenue @ 50-60% margins	\$20,400 - \$36,600

Category	Financial Impact
Substitute Teaching Income 2 days/week @ \$150-200/day	\$14,400 - \$19,200
Retirement Contributions Solo 401k + Backdoor Roth (compounds tax-advantaged)	\$50,000 - \$70,000
Bitcoin Position Established 70% allocation from available capital + business profits	\$35,000 - \$50,000
Emergency Fund Built 6 months expenses (\$14,900/month)	\$56,400
Net Worth Increase Debt elimination + savings + investment growth	\$150,000 - \$200,000
TOTAL FIRST-YEAR FINANCIAL IMPACT	\$246,200 - \$343,600

This represents a complete financial transformation in 12 months. You go from having \$50K+ in debt and uncertainty about your career transition to being debt-free, with multiple income streams generating \$60K-\$90K annually, \$56K emergency fund in place, \$85K+ invested across Bitcoin and retirement accounts, and \$54K-\$85K saved in taxes. The systems you build this year continue generating value for decades, with tax savings growing as your business scales and compound returns accelerating your wealth building.

12. Next Steps & Implementation

Your Immediate Action Items (This Week):

1. Contact HR about severance timing and payment structure
2. Calculate exact tax liability on severance amount
3. Review this wealth plan with your spouse - discuss goals, timeline, commitment level
4. Schedule meeting with CPA to review strategies and timing
5. Begin Week 1 checklist items from 30-Day Action Plan

Monthly Review Process

Schedule a monthly financial review on the first Sunday of each month (60-90 minutes) to:

- Review previous month's revenue, expenses, profit margins
- Compare actual vs projected numbers
- Adjust pricing, marketing, or operations based on results
- Calculate estimated tax payments for quarter
- Update 12-month projection based on current trajectory
- Review investment accounts, Bitcoin position, net worth tracking
- Plan next month's priority actions and goals
- Document challenges, lessons learned, wins to celebrate

Quarterly Tax Planning Sessions

Meet with your CPA four times per year (March, June, September, December) to:

- Review year-to-date income and deductions
- Calculate estimated tax payments due
- Optimize W-2 withholding vs quarterly estimates
- Evaluate if new strategies should be added
- Project year-end tax liability and plan accordingly
- Adjust retirement contributions to maximize savings
- Document all strategy implementations for tax return

Annual Strategic Planning

Each December, conduct comprehensive planning session for upcoming year:

- Review full year results against targets set in this plan
- Celebrate wins and analyze challenges
- Determine which advanced strategies to add next year
- Set revenue, profit, and net worth goals for coming year
- Update business plan and financial projections
- Evaluate real estate investment timing and readiness
- Review and refresh this wealth plan with new strategies

Your Path Forward

You're at a pivotal moment. You have the income, assets, and family support to build significant wealth while minimizing taxes. This plan gives you a clear roadmap from where you are now (transitioning from W-2 with debt) to where you want to be (debt-free, multiple income streams, growing investments, strong financial foundation).

The strategies outlined will save you \$60,000-\$85,000 in taxes in year one alone. That's money that stays in your family, compounds over decades, and funds your goals. Combined with your business income, debt elimination, and strategic investing, you're positioned to increase your net worth by \$150,000+ in the next 12 months.

The key is execution. Start with the 30-Day Action Plan. Take it one week at a time. Build momentum with small wins. Document everything. Work with your CPA on complex strategies. Review monthly. Adjust as needed. This is your roadmap - follow it and you'll achieve your goals.

COMPREHENSIVE WEALTH PLAN

Prepared for Kelsa Hernandez

December 2025